

Laddering with Individual Bonds

Outside of these professionally managed mutual fund solutions, those seeking a do-it-yourself approach to duration matching with bond funds may underestimate the difficulty of the task. Duration matching is not straightforward when shares of the bond fund must be sold to meet ongoing retirement expenses. If rates have risen, shares of the bond fund may need to be sold at a loss, with more shares sold to meet a given spending objective. This triggers sequence risk and locks in losses. Immunization only works if interest payments can be reinvested at a new higher interest rate to compensate for capital losses. But not all the funds are fully reinvested when a spending goal is met, so reinvestment risk and interest rate risk do not get neutralized. The return on remaining assets would need to be even higher to keep the retirement liability funded. Immunization is harder when there is also a spending goal to support.

An alternative approach is to use individual bonds in a retirement income plan. A retirement income bond ladder can be structured so the cash flows provided through coupons and maturing face values will provide a steady and known stream of contractually guaranteed income for the ongoing expenditure needs in retirement. Cash flows from the bonds are matched to fund desired expenses at desired dates. Interest rate risk can be ignored for the retirement expenses that have been matched with these dedicated assets. Sequence risk is reduced because there is less risk of assets being sold at a loss. Rebalancing may be required in terms of extending the length of the bond ladder as time passes to cover future expenses, but the complexities involved in an ongoing effort to match durations can be better avoided.

Retirement income bond ladders generally take the form of Treasury bonds to minimize the possibility of default risk. But for those seeking higher yield by accepting some credit risk, newer mutual funds such as Franklin Templeton's Retirement Payout Funds and ETFs such as Guggenheim Bulletshares and iShares term-maturity funds have cropped up as a pool of corporate bonds sharing the same maturity date.